Dallas Housing Needs Assessment

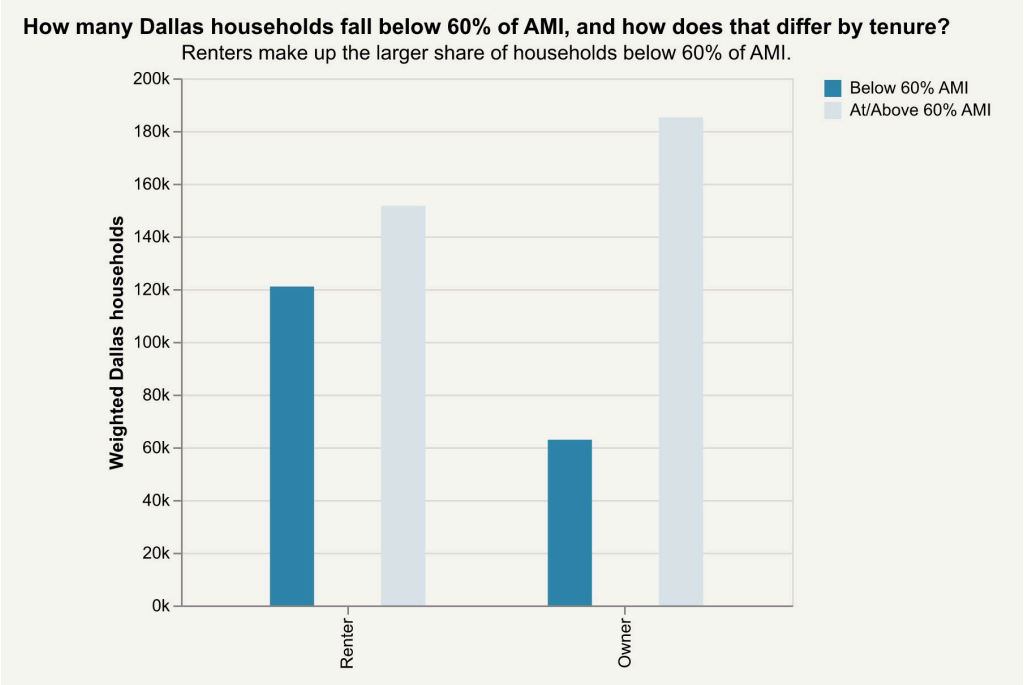
Summary Findings and Policy Implications

Overview

Key Findings

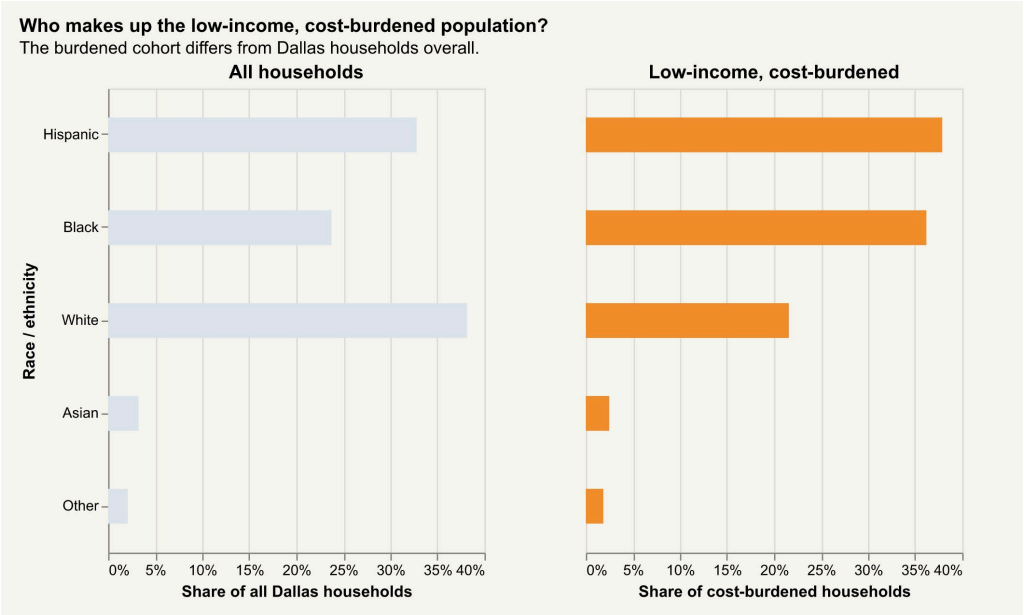
- Approximately **183,821 households in Dallas fall below 60% of AMI.**
- Of these, 137,494 are also cost burdened, paying more than 30% of income on housing (**representing 26.4% of all households).**
- **Cost burden is highly concentrated among renter households**, who account for the majority of low-income burdened households. 120,974 renter households fall below 60% of AMI, compared with 62,847 owner households.
- Household size and race/ethnicity are strong indicators of cost burden within this group.
- Housing cost burden is **somewhat more concentrated in areas with limited vehicle access**, where average no-vehicle household rates are approximately 9.8%.

Scale of the Problem



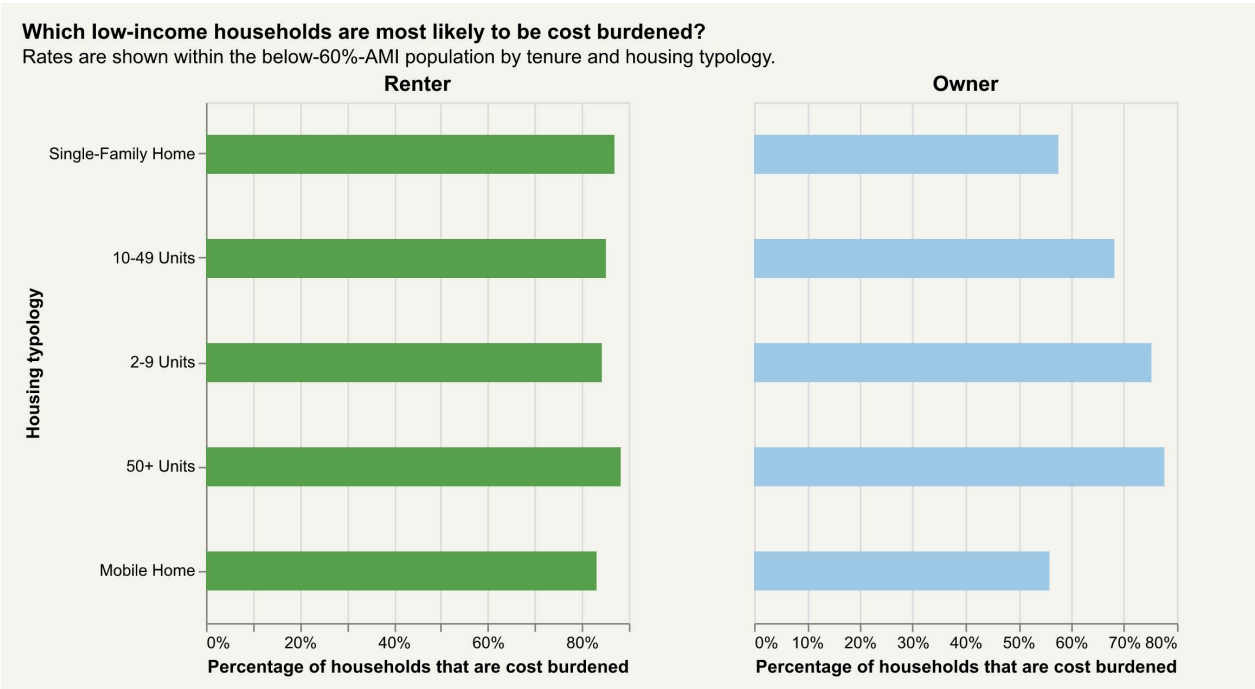
- Renters represent the majority of households below 60% AMI.
- Owners are significantly less represented in this income bracket, reflecting barriers to homeownership.

Who is Most Affected?



- The cost-burdened population skews toward:
  - larger households
  - Black and Hispanic residents
- Affordability challenges are not evenly distributed across the population.

What Predicts Cost Burden?



- Tenure is the strongest predictor: renters are significantly more likely to be burdened
- Household size further differentiates risk: larger households face higher burden rates

Policy Implications for Dallas

- Observation: Low-income renters make up the largest share of cost-burdened households.
  Interpretation: Affordability pressure is concentrated in the rental market.
  Implication: Prioritize rental assistance, eviction prevention, and preservation of naturally occurring affordable rental housing.

- Observation: Higher burden rates are observed in multifamily housing typologies.
  Interpretation: Many cost-burdened households are already located in rental-oriented building types.
  Implication: Target preservation and stabilization strategies toward multifamily properties serving lower-income households.

- Observation: Racial disparities are evident within the cost-burdened population.
  Interpretation: Housing cost burden is not evenly distributed across Dallas households.
  Implication: Incorporate equity-focused targeting into program design, outreach, and investment strategies.

- Observation: One-person and single-parent households are overrepresented among cost-burdened households.
  Interpretation: Household composition plays a meaningful role in shaping affordability constraints.
  Implication: Expand support for both smaller low-cost units and family-sized affordable housing, alongside targeted assistance for households with children.

- Observation: Where included, higher no-vehicle rates suggest overlapping housing and mobility constraints.
  Interpretation: Some households may face compounded access and affordability challenges.
  Implication: Coordinate housing interventions with transportation and access planning in affected areas.

Current Approach and Next Steps

This analysis focuses on households that:

- Earn below 60% of Area Median Income (AMI)
- Pay more than 30% of gross income toward housing costs

This analysis uses the provided Dallas household extract derived from ACS / PUMS records, applying household weights (WGTP) throughout. Households are classified as below 60% of AMI using Dallas 2020 HUD income limits by household size. Housing cost burden is defined descriptively as annualized renter or owner housing cost divided by inflation-adjusted household income, with burden flagged when that ratio exceeds 30%.

A next-step model should be a weighted logistic regression restricted to households below 60% of AMI, with cost_burdened as the dependent variable.